

quantities. The advantage is that if you sell these investments later, you will have stepped up the cost basis, or purchase price, of your investments. Only future gains from this point will be taxed. You don't have to worry about switching investments to avoid a "wash sale" because you already paid (at a rate of 0 percent) your taxes on these recognized gains.

Brad

Using advanced strategies to pull money out of these retirement accounts such as the "Roth IRA Conversion Ladder" allows you to potentially pay little or no tax down the road when you want to withdraw it. But who outside of the FI community has ever heard of this?

Tax gain harvesting is another one that probably never would have crossed my desk in a traditional accounting job because it is so counterintuitive: who seriously wants to create taxable income? Answer: someone in the FI community who is controlling their tax rate and knows they'll pay \$0 in tax on their capital gains!

Special Circumstances